⚖️ Business Law I Study Guide

BUS 202 — Exam #1 Review — Procadamia

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Unit 1: Law & Legal Reasoning

Functions of Law

- **Stability, predictability, and continuity** in society
- **Identifies conduct** that is legally right and legally wrong
- **Establishes legal rights and legal duties** (obligations) consistent with societal values

Definition of Law

A **set of enforceable rules** that govern relationships between and among individuals, businesses, and government, rooted in the U.S. Constitutional principle of **Due Process**.

Consider the examples of college student Otto Warmbier and WNBA star Brittney Griner — both cases illustrate how different legal systems can produce vastly different outcomes.

Business Activities & The Legal Environment

- **General Rule:** Laws and government regulations affect nearly *all* business operations
- **General Rule:** A single business transaction can be impacted by *multiple* areas of law
- **Conclusion:** Knowledge of the law is essential for making business decisions that **reduce risk of liability** and are **ethical**

Classifications of Law

Classification	Type A	Type B
By Function	**Substantive Law** = "substance" = legal rights and duties	**Procedural Law** = "procedure" = the process/steps/rules that must be followed before a court examines any substantive claim
By Party	**Civil Law** = governs private persons and entities (business & government)	**Criminal Law** = wrongs against society as a whole
Emerging	**Cyber Law** = laws governing transactions conducted via the internet (new and emerging area)	

💡 Procedural law is the "gatekeeper" — a court won't even look at the substance of your case unless proper procedure has been followed first.

Unit 2: Sources of Law

Primary Sources of Law (Binding)

These are **binding legal authority** that must be followed. Failure to comply leads to **liability**.

Source	Description	Key Details
Constitution	Written organization, powers, and limits of government	Art I = Legislative (writes laws), Art II = Executive (enforces laws), Art III = Judiciary (interprets laws). Limits are in the Bill of Rights.
Statutes	Laws enacted by the legislative branch	Written by Congress (federal) or state legislatures (state)
Administrative Law	Rules & regulations by administrative agencies	Agencies have rulemaking, investigatory, and adjudicatory powers. Key case: *Loper Bright Enterprises v. Raimondo* (2024)
Case Law	Judicial resolution of legal disputes (judge-made law)	Important function: to **interpret** the other primary sources of law

Constitutional Structure

- **Article VI — Supremacy Clause:** Resolves contradictions between state & federal law *in favor of federal law*
- **10th Amendment:** Gives states power to act in areas not delegated to the federal government

Secondary Sources of Law (Non-Binding)

NOT binding. Their function is to **explain** primary sources. They can have **persuasive power**.

- **Legal Encyclopedias** — summarize legal principles by topic; may include case law annotations
- **Restatements of Law** — individual texts on specific topics (e.g., Restatement of Contract Law, Restatement of Tort Law); include case law annotations

Legal Citations — How to Find Primary Sources

Source	Citation Format	Example

Constitution	Document, Article/Amendment, Section	U.S. Const. amend I
Statutes	Title, Section, Year	17 U.S.C. § 107 (2012)
Administrative Law	Title, Section, Year	7 C.F.R. § 319.76 (1999)
Case Law	Parties, Volume, Page, Court, Year	Smith v. Jones, 42 F.2d 191, 3rd Cir. (2010)

💡 Primary sources = binding = must follow. Secondary sources = persuasive = helpful but not required. Know the difference!

Unit 3: Common Law & Stare Decisis

Origins of Common Law

- U.S. law originated in **England**
- **1066:** William the Conqueror invaded England and unified the country under his rule using the **court system**
- A common approach to law developed within the King's Court — today "Common Law" means **decisions by judges/courts** as opposed to legislative law
- **Courts of Law vs. Courts of Equity** — the U.S. has **merged** these concepts

Doctrine of Stare Decisis

Stare Decisis means *"to stand on decided cases."*

Situation	Rule	System Value
Similar cases	Must be decided in similar ways — judges base decisions on principles from prior similar cases	Stable & Predictable
Different cases	Should be decided differently	Fair
New cases	Precedent is established & becomes authority for later similar cases	Continuous

Two Key Aspects

1. **Lower courts are bound** by decisions of higher courts
2. **Precedent must be followed** and cannot be overturned UNLESS there are **Compelling Reasons**

Compelling Reasons to Overturn Precedent

- **Changes in Society**
- **Technological Advancements**
- Other considerations per *Dobbs v. Jackson Women's Health Organization* (2022)

Landmark Example: Changes in Society

Case	Year	Holding
Plessy v. Ferguson	1896	"Separate but equal" is equal under the law → race discrimination became lawful
Brown v. Board of Education	1954	Overturned Plessy — "Separate but equal is NOT equal." Society had changed.

How to Read Case Law

- **Parties:** Plaintiff/Petitioner and Defendant/Respondent
- **Facts:** Summary of the legal dispute
- **Procedural Posture:** What court issued the decision, how did the case get there
- **Legal Issue:** Question of law before the court
- **Court's Holding:** The answer to the legal issue (identifies the winning party)
- **Legal Reasoning:** How & why the court ruled as it did
- **Rule of Law:** Primary source of law governing the case

> 💡 Stare Decisis = stability + fairness. Precedent can ONLY be overturned for compelling reasons. This is why Brown v. Board could overturn Plessy.

Unit 4: Courts & Jurisdiction

Court Systems in the U.S.

The U.S. has **52 court systems** — one federal system and one for each of the 50 states plus the District of Columbia.

Second Function of Case Law: Judicial Review

Judicial Review = the power of courts to determine whether a law or government action is constitutional.

> 📋 **Marbury v. Madison** (U.S. Supreme Court, 1803) — Established that the Supreme Court has the power to review acts of Congress and declare them unconstitutional. This is the foundation of judicial review in the United States.

Basic Judicial Requirements

Three requirements must be met before a court can hear a case:

Requirement	Definition	Key Details
Venue	The proper *location* of a court in a forum state	Determined by statutory law
Standing	Constitutional requirement that plaintiff has a legal interest in the case	The plaintiff must be the party with the injury or loss
Jurisdiction	The court's authority to hear the case	Two types required: Personal Jurisdiction AND Subject Matter Jurisdiction

Subject Matter Jurisdiction

Limitations on the **types of cases** a court can hear.

Type	Meaning	Example
General	Can hear a broad array of cases	State trial court, federal district court
Limited	Can only hear specific types of cases	Probate court, Bankruptcy court
Original	Where lawsuits begin and trials occur	Trial courts

Appellate	Reviews decisions of lower courts	Courts of appeals

Federal Subject Matter Jurisdiction

- **Federal Question:** Cases arising under the Constitution, federal laws, or treaties
- **Diversity of Citizenship:** Disputes between citizens of different states (amount exceeds $75,000)
- **Exclusive Jurisdiction:** Only federal courts can hear certain cases
- **Concurrent Jurisdiction:** Both federal and state courts can hear the case

⚠️ Both Personal Jurisdiction AND Subject Matter Jurisdiction are required. Missing either = the court cannot hear the case.

Unit 5: Personal Jurisdiction & Minimum Contacts

Personal Jurisdiction

The court's authority over the **parties** involved in the lawsuit. For residents, jurisdiction is automatic. For **non-residents**, the court must use a `Long-Arm Statute`.

Long-Arm Statutes

Every state has a long-arm statute allowing courts to reach non-resident defendants who have **sufficient contacts** with the forum state. Two-prong analysis:

1. **Statutory Authority:** Does the long-arm statute authorize jurisdiction?
2. **Due Process:** Does exercising jurisdiction comply with constitutional standards?

Minimum Contacts Test (Due Process)

The defendant must have *"certain minimum contacts"* with the forum state such that the lawsuit does not offend *"traditional notions of fair play and substantial justice."*

Five Factors:

1. Quantity of contacts
2. Nature and quality of contacts
3. Source and connection of the cause of action to the contacts
4. Interest of the forum state
5. Convenience to the parties

📋 **Case 2.1: Southern Prestige v. Independence Plating Corp.**
Court of Appeals of North Carolina, 690 S.E.2d 768 (2010)

Facts: Independence Plating (NJ corp.) anodized machined parts for Southern Prestige (NC company). 32 purchase orders between July 2007–April 2008 totaling $21,018.70. Defective anodizing caused parts to be rejected. Southern Prestige sued in NC.
Issue: Does NC have personal jurisdiction over a NJ defendant?
Holding: Yes. Defendant had sufficient minimum contacts — 32 transactions, ongoing business relationship. Defendant "purposefully availed" itself of doing business in NC.
Rule: NC Long-Arm Statute + Due Process (minimum contacts)

Takeaway: Ongoing business relationships with frequent transactions create sufficient minimum contacts.

📋 **Case 2.2: Gucci America v. Wang Huoqing**
U.S. District Court, N.D. California, 2011 WL 30972 (2011)

Facts: Wang Huoqing (Chinese resident) operated websites selling counterfeit Gucci products. Gucci hired a CA investigator who purchased a fake wallet. Gucci sued in federal court in CA.
Issue: Does a CA court have personal jurisdiction over a foreign defendant selling goods online?
Holding: Yes. Interactive websites selling goods to forum-state residents satisfy minimum contacts. Default judgment entered.
Rule: CA Long-Arm Statute + **Sliding Scale Analysis**

Internet Jurisdiction: Sliding Scale Analysis

Website Type	Jurisdiction?	Description
Passive	❌ No	Only displays information; no interactivity
Interactive	⚠️ Maybe	Allows some user interaction; depends on level
Fully Interactive / E-Commerce	✅ Yes	Conducts business, sells products to forum residents

In Rem Jurisdiction

Another way for a forum court to obtain authority over a non-resident defendant: when the defendant **owns property** in the forum state.

Practical Lessons from LICRA v. Yahoo, Inc. (2004)

- International business contracts should include **choice of law** and **forum clauses**
- These clauses specify which country's laws apply and which courts have jurisdiction
- Without such clauses, businesses face unpredictable jurisdictional outcomes

💡 Know both cases! Southern Prestige = traditional minimum contacts. Gucci = internet jurisdiction via sliding scale. Long-arm statutes exist in every state and work the same way.

Unit 6: Court Structure & Alternative Dispute Resolution

State Court Structure

- **Trial Courts** (courts of original jurisdiction) — where lawsuits begin
- **Appellate Courts** (courts of appellate jurisdiction) — review decisions of lower courts

Federal Court Structure

Level	Court Name	Function
Trial Level	U.S. District Court	Court of original jurisdiction — *many* in each state
Intermediate Appellate	Circuit Court of Appeals	Court of appellate jurisdiction — reviews district court decisions
Highest Court	U.S. Supreme Court	The **only court** with BOTH original AND appellate jurisdiction

⚠️ Key fact: There are many U.S. District Courts in each state, but that is NOT the case at the appellate or Supreme Court level.

U.S. Supreme Court

- Nine justices; serves as the final arbiter of constitutional questions
- Has both original jurisdiction (rare — e.g., disputes between states) and appellate jurisdiction
- Exercises **judicial review** over all lower court decisions and acts of Congress

Alternative Dispute Resolution (ADR)

Three alternatives to going to court:

Method	How It Works	Who Decides?
Negotiation (& Settlement)	Parties resolve the dispute themselves and draft a Settlement Agreement for court adoption	The **parties**
Mediation	A mediator assists the process; parties still resolve the dispute and draft a Settlement Agreement	The **parties** (mediator facilitates)

Arbitration	Neutral third party (Arbitrator) decides. Formal and trial-like — evidence and witnesses presented but **no jury**	The **Arbitrator**

📋 **Cleveland Construction, Inc. v. Levco Construction, Inc.**
Court of Appeals of Texas (2012)

The appellate court **enforced the arbitration agreement** in the hiring contract between Cleveland and Levco. The trial court made an **error of law** when it denied Cleveland's request to dismiss Levco's lawsuit and order arbitration.
Takeaway: Courts will enforce arbitration agreements in contracts.

💡 For the exam: Know all 3 ADR forms and who decides in each. Arbitration = the arbitrator decides (not the parties). Mediation & Negotiation = the parties decide. Courts enforce arbitration clauses (Cleveland Construction).